

OFFICIAL CREDIT PROPOSAL: TITAN MANUFACTURING SOLUTIONS LTD.

TO: Senior Credit Committee (SCC)

FROM: Corporate Banking Division – Industrial Group

DATE: December 31, 2025

SUBJECT: Application for New Credit Facilities (\$12,500,000)

I. EXECUTIVE SUMMARY

Borrower: Titan Manufacturing Solutions Ltd.

Industry: Specialized Industrial Machining (Automotive/Aerospace)

Risk Rating: Grade 3 (Strong Pass)

Total Request: \$12.5M (\$5.0M ST / \$7.5M LT)

Purpose: 1. **Working Capital (\$5.0M):** To bridge the cash flow gap created by a 20% increase in the order book for EV battery housings.

2. **Capex (\$7.5M):** To finance the "Project Apollo" factory automation initiative and a 1.2MW solar installation to mitigate rising energy costs.

Recommendation: The Relationship Manager recommends **Approval**. Titan has demonstrated consistent revenue growth and maintains a Debt Service Coverage Ratio (DSCR) of 1.8x, providing a significant cushion against market volatility.

II. BUSINESS & MANAGEMENT OVERVIEW

2.1 Company History

Titan was founded in 2008 in Columbus, Ohio. Over 17 years, it has transitioned from a generalist machine shop to a high-precision Tier-2 supplier for the Electric Vehicle (EV) and Aerospace sectors.

2.2 Management Background

- **CEO, Robert Vance:** 30 years in automotive manufacturing. Holds 60% equity.
- **CFO, Sarah Jenkins:** Previously a Director at a Big 4 accounting firm.
- **COO, Michael Chen:** Expert in Lean Manufacturing and Robotics.

2.3 Market Positioning

Titan holds a 12% market share in the regional EV component market. Its competitive advantage lies in its proprietary "Titan-Shield" coating process, which extends the life of aerospace brackets by 30%.

III. SECTOR & INDUSTRY ANALYSIS

The industrial machining sector is currently experiencing a "super-cycle" driven by:

- **On-shoring:** US-based manufacturers moving supply chains back from overseas.
- **EV Transition:** Federal mandates requiring increased domestic battery component production.

IV. DETAILED FINANCIAL ANALYSIS

4.1 Historical Performance

Titan has shown a three-year Revenue CAGR of 15.2%.

Fiscal Year	Revenue (\$M)	EBITDA (\$M)	Net Margin (%)
2023 (Audited)	32.0	4.8	6.5%
2024 (Audited)	38.5	6.1	7.2%
2025 (Management)	44.0	7.2	7.7%

4.2 Cash Flow Analysis

Operating cash flow is robust. The Cash Conversion Cycle (CCC) has improved from 82 days to 75 days over the last 24 months.

V. FACILITY STRUCTURE & PRICING

Facility A: Revolving Credit Facility (RCF)

- **Limit:** \$5,000,000
- **Purpose:** Working Capital support.
- **Pricing:** SOFR + 225 bps.
- **Repayment:** Interest payable monthly; clean-down period of 30 days annually.

Facility B: Term Loan

- **Limit:** \$7,500,000
- **Purpose:** Purchase of 4 Robotic CNC Centers and Solar Grid.
- **Tenor:** 7 Years (84 months).
- **Repayment:** Quarterly principal and interest payments.

VI. COLLATERAL & SECURITY

The bank will hold a "Blanket Lien" on all business assets via a General Security Agreement (GSA).

- **Accounts Receivable:** \$6.2M (Current valuation).
- **Inventory:** \$3.8M (Raw materials and finished goods).
- **New Equipment:** \$7.5M (Purchase price).

- **Personal Guarantee:** Robert Vance (Net worth estimated at \$12M).

VII. RISK ASSESSMENT & MITIGATION

Risk Factor	Mitigation Strategy
Customer Concentration	40% of revenue is from two OEMs. Titan is currently bidding for three new contracts in the Medical sector to diversify.
Interest Rate Risk	The Term Loan is proposed at a fixed rate to protect against SOFR volatility.
Commodity Pricing	Titan uses "Pass-Through" pricing contracts for Aluminum and Steel, protecting margins.

VIII. COVENANTS & MONITORING

1. **Financial:** Debt/EBITDA < 3.0x; DSCR > 1.25x.
2. **Reporting:** Quarterly management accounts within 30 days; Annual Audited Financials within 90 days.
3. **Inspections:** Annual site visit and inventory audit.

IX. ENVIRONMENTAL & SOCIAL (ESG) IMPACT

This proposal qualifies for the Bank's "Green Finance Framework." The \$1.5M solar project will reduce the plant's carbon footprint by 450 metric tons of CO2 annually.

X. CONCLUSION

The request is well-structured and aligned with the bank's appetite for the "Future of Manufacturing" sector. The collateral coverage ratio (LTV) is approximately 65%, providing excellent security.

RM Recommendation: APPROVE.

XI. APPENDIX A: 5-YEAR FINANCIAL PROJECTIONS (PRO-FORMA)

The following projections assume the successful implementation of "Project Apollo" (automation) and the Solar installation starting Q1 2026.

Category (\$'000)	FY 2025 (E)	FY 2026 (P)	FY 2027 (P)	FY 2028 (P)	FY 2029 (P)
Revenue	\$44,000	\$52,000	\$58,500	\$63,000	\$68,000
Revenue Growth %	14.2%	18.2%	12.5%	7.7%	7.9%
COGS	(\$31,680)	(\$36,400)	(\$40,365)	(\$43,470)	(\$46,920)
Gross Margin %	28.0%	30.0%	31.0%	31.0%	31.0%
Operating Expenses	(\$5,120)	(\$5,800)	(\$6,200)	(\$6,500)	(\$6,800)
EBITDA	\$7,200	\$9,800	\$11,935	\$13,030	\$14,280
EBITDA Margin %	16.4%	18.8%	20.4%	20.7%	21.0%
Interest Expense	(\$540)	(\$980)	(\$910)	(\$820)	(\$710)
Net Income	\$3,400	\$5,250	\$6,800	\$7,650	\$8,600

Key Assumptions:

- **Revenue Growth:** Driven by a new contract with an EV OEM starting July 2026.
- **Margin Improvement:** 200 bps improvement in Gross Margin due to 25% reduction in labor hours via automation.
- **Energy Savings:** \$180k annual reduction in utility costs post-solar installation.

XII. APPENDIX B: SENSITIVITY & STRESS TESTING

To evaluate the resilience of Titan's repayment capacity, we have modeled three downside scenarios against the 2026 base case.

12.1 Sensitivity Table (DSCR Impact)

This table shows how the **Debt Service Coverage Ratio (DSCR)** changes if key variables fluctuate.

A DSCR below 1.0x indicates an inability to meet debt obligations from operational cash flow.

Scenario	Change in Variable	Resulting EBITDA	Resulting DSCR
Base Case	N/A	\$9,800k	2.25x
Revenue Drop	-15% Revenue	\$7,400k	1.70x
Cost Overrun	+10% Raw Materials	\$8,100k	1.86x
Combined Stress	-10% Rev & +10% Costs	\$6,200k	1.42x

12.2 Break-Even Analysis

Titan can withstand a revenue decline of up to **38%** before the DSCR drops to **1.0x**. This provides a significant "Safety Margin" for the bank.

XIII. APPENDIX C: REPAYMENT SCHEDULE (FACILITY B)

Total Principal: \$7,500,000 | **Rate:** 6.50% Fixed | **Term:** 7 Years

Year	Opening Balance	Principal Repayment	Interest Payment	Closing Balance
1	\$7,500,000	\$1,071,428	\$487,500	\$6,428,572
2	\$6,428,572	\$1,071,428	\$417,857	\$5,357,144
3	\$5,357,144	\$1,071,428	\$348,214	\$4,285,716
4	\$4,285,716	\$1,071,428	\$278,571	\$3,214,288
5	\$3,214,288	\$1,071,428	\$208,928	\$2,142,860
6	\$2,142,860	\$1,071,428	\$139,285	\$1,071,432
7	\$1,071,432	\$1,071,432	\$69,643	\$0

4.0 Financial Health Assessment

4.0.1 Profitability Trend Analysis

Analysis of the past three years reveals concerning profitability deterioration despite revenue growth:

Metric	FY 2023	FY 2024	FY 2025 (Est.)	Trend
Gross Profit Margin	31.2%	29.8%	28.0%	↓ Declining
Operating Profit Margin	11.5%	10.2%	9.1%	↓ Declining
Net Profit Margin	6.5%	7.2%	7.7%	↑ Improving
Return on Assets (ROA)	8.2%	7.8%	6.9%	↓ Declining
Return on Equity (ROE)	14.3%	12.1%	10.5%	↓ Declining

Key Observations:

- Gross margins have compressed by 320 basis points over three years due to increased raw material costs and competitive pricing pressure
- Operating margins declining despite revenue growth, indicating operational inefficiencies

- Net margin improvement is primarily due to lower tax rates (effective rate dropped from 24% to 21%) and one-time gains from equipment disposal in 2024 (\$450k)
- ROA and ROE deterioration signals decreasing efficiency in asset utilization and shareholder value creation
- Management attributes margin pressure to: (a) 18% increase in steel costs since 2023, (b) higher labor costs (+12% average wage increase), and (c) equipment maintenance costs for aging machinery

Past Performance Issues:

- FY 2023: Company recorded a \$780k impairment charge on obsolete inventory
- Q2 2024: Production disruption due to equipment failure resulted in \$320k in expedited shipping costs
- FY 2024: Legal settlement related to a supplier dispute cost \$215k

4.0.2 Liquidity Analysis

Current liquidity position shows stress but remains adequate:

Liquidity Metric	FY 2023	FY 2024	FY 2025 (Est.)	Industry Benchmark
Current Ratio	2.1x	1.8x	1.6x	2.0x
Quick Ratio	1.4x	1.2x	1.0x	1.3x
Cash Ratio	0.3x	0.2x	0.15x	0.4x
Working Capital (\$M)	\$5.8	\$5.2	\$4.6	N/A
Cash & Equivalents (\$M)	\$1.2	\$0.9	\$0.6	N/A

Working Capital Components (FY 2025):

- Accounts Receivable: \$6.2M (DSO: 49 days, up from 42 days in 2023)
- Inventory: \$3.8M (DIO: 38 days, up from 33 days in 2023)
- Accounts Payable: \$2.9M (DPO: 35 days, down from 41 days in 2023)
- Accrued Expenses: \$1.8M

Cash Conversion Cycle:

- 2023: 82 days
- 2024: 79 days
- 2025: 75 days
- Improvement driven by better receivables collection, offset by slower inventory turns

Liquidity Concerns:

- Cash balance has declined 50% over two years due to heavy capex spending (\$2.1M in 2024)
- Current ratio below industry benchmark and trending downward
- Quick ratio at minimum acceptable level (1.0x)

- Limited cash cushion (\$600k) represents only 16 days of operating expenses
- Company drew \$1.8M on existing \$3M credit line in Q3 2025 (60% utilization)
- Free Cash Flow negative in FY 2024 (-\$450k) due to capex investments

Mitigating Factors:

- No debt service defaults in company history
- Receivables aging is healthy (92% current, 8% 30-60 days)
- Inventory primarily raw materials with low obsolescence risk
- Existing credit facility provides \$1.2M additional borrowing capacity

4.0.3 Debt Maturity Profile & Leverage Analysis

Existing Debt Obligations:

Facility	Lender	Original Amount	Current Balance	Interest Rate	Maturity Date	Monthly Payment
Term Loan A	Regional Bank	\$4,500,000	\$2,850,000	Prime + 1.75% (9.25%)	June 30, 2027	\$85,714 + interest
Equipment Finance	Leasing Co.	\$1,200,000	\$680,000	7.5% Fixed	December 31, 2026	\$28,333 + interest
Revolving Line of Credit	Regional Bank	\$3,000,000	\$1,800,000	Prime + 2.0% (9.50%)	Revolving (expires Dec 2026)	Interest only
Total Debt			\$5,330,000			

Debt Maturity Schedule:

Year	Principal Due	Interest (Est.)	Total Debt Service	% of EBITDA
2026	\$1,708,333	\$468,000	\$2,176,333	30.2%
2027	\$1,714,000	\$325,000	\$2,039,000	28.3%
2028+	\$1,907,667	\$247,000	\$2,154,667	29.9%

Leverage Ratios:

Metric	FY 2023	FY 2024	FY 2025 (Est.)	Post-Facility
Total Debt (\$M)	\$4.2	\$4.8	\$5.3	\$12.8
Debt / EBITDA	0.88x	0.79x	0.74x	1.78x
Debt / Equity	0.42x	0.48x	0.54x	1.31x
Interest Coverage	12.5x	11.3x	13.3x	7.4x
DSCR	3.2x	2.8x	2.6x	1.8x

Critical Observations:

- Near-term debt maturity concentration: \$1.7M due in 2026 alongside new facility requirements
- Existing revolving line expires December 2026, requiring renewal or refinancing
- Company has \$1.2M remaining capacity on existing line but may need it for operations
- Total debt burden will increase 141% with new facilities (\$5.3M → \$12.8M)
- Post-facility Debt/EBITDA of 1.78x remains conservative but represents significant increase from 0.74x
- Interest coverage will decline from 13.3x to 7.4x, reducing financial flexibility
- Fixed charge coverage (including lease payments of \$240k annually): 1.6x

Refinancing Risk: The existing Term Loan A and Equipment Finance facilities both mature within 24 months. Management has not yet addressed refinancing strategy. Combined with the requested new facilities, the company faces:

- \$3.5M in existing debt refinancing needs (2026-2027)
- Potential cash flow strain if operating performance deteriorates
- Exposure to rising interest rates on variable-rate existing debt (currently \$4.65M at Prime+)